Sl. No. 1

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Virtual Hearing)

PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 28.08.2024 AT 01:00 P.M.

TC/CP. Nos.	CA/ IA No.	Present stage of the case	Section/Rule	Name of Parties
CP(CAA)/1/230/AMR/2024		For Orders	230	M/s Devi Aqua tech Pvt. Ltd (1st Transferor Co.) and M/s Satya Sea Foods Pvt. Ltd (2nd Transferor Co.) and M/s DSF Aqua tech Pvt. Ltd (3rd Transferor Co.) and M/s Devi Fisheries Pvt. Ltd (Transferee Co.)

ORDER

Present: Mr. S. S. Sarat Chandra, Ld. Counsel for the Petitioners.

Orders pronounced. **CP(CAA)/1/230/AMR/2024 is allowed and recorded vide separate sheets.**

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Venkatesh & RSN

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI
* * *

CP (CAA)/1/230/AMR/2024
Connected with
CA (CAA)/7/230/AMR/2023

IN THE MATTER OF SECTION 230-232 OF THE COMPANIES ACT, 2013

[Under Sections 230 and 232 of the Companies Act,2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]
And

Scheme of Amalgamation of M/s. Devi Aquatech Private Limited (1st Transferor Company), M/s. Satya Seafoods Private Limited (2nd Transferor Company), M/s. DSF Aquatech Private Limited (3rd Transferor Company) with M/s. Devi Fisheries Limited (Transferee Company) and their Respective Shareholders.

In the matter of Scheme of Amalgamation:

1. M/s Devi Aquatech Private Limited
(CIN: U15122AP2014PTC093615)
D.no.6-21-7, east point colony,
Visakhapatnam, Andhra Pradesh 530017
...1st Petitioner /1st Transferor Company

2. M/s Satya Sea Foods Private Limited
(CIN: U05005AP1985PTC006027)
D.No.12-2-15/1,Main Road,
Samarlakota Andhra Pradesh 533440.
...2nd Petitioner /2nd Transferor Company

3. M/s DSF Aquatech Private Limited
(CIN: U05005AP1993PTC016314)
D.No.6-21-7 East Point Colony,
Visakhapatnam -530017 Andhra Pradesh
...3rd Petitioner /3rd Transferor Company

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WITH

4. M/s Devi Fisheries Limited
(CIN: U05005AP1997PLC027100)
D.No.6-21-7 East Point Colony,
Visakhapatnam -530017 Andhra Pradesh India.
...4th Petitioner /Transferee Company

Order Dated: 28.08.2024

CORAM

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

For the Petitioners: Mr. S.S.Sarat Chandra, Advocate
For the RD (SER): Mr. M.Harsha Vardhan Reddy, Assistant Director

ORDER
(Per: Bench)

1. The present joint Company Petition has been filed by Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of 1st Petitioner/1st Transferor Company, 2ndPetitioner/2nd Transferor Company and 3rd Petitioner/3rd Transferor Company into the 4th Petitioner/Transferee Company and to dissolve the 1st, 2nd & 3rd Petitioner/Transferor Companies without winding up as provided in the scheme. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

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2. The Transferor Company and Transferee Company registered offices are situated in the state of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. The Petitioner Companies have jointly filed the first motion application bearing CA(CAA)/7/230/AMR/2023 before this Tribunal seeking for dispensing with the holding of the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the Transferor and Transferee Companies, and dispense with the publication of notice in newspapers. The first motion application was disposed of vide order[1] dated 10.01.2024, the meetings of Shareholders, Secured Creditors and Unsecured Creditors of both the Companies were dispensed with for the reasons mentioned in the aforesaid order.

4. Brief facts leading to the filing of the present case are as follows:

   i. M/s Devi Aquatech Private Limited, 1st Petitioner/ 1st Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 19.03.2014 and the Authorized share capital of the 1st Transferor Company is Rs.64,00,00,000/- divided into 6,40,00,000 Equity shares of Rs. 10/- each and the issued, subscribed and paid-up capital is Rs. 63,06,54,000/- divided into 6,30,65,400 fully paid-up equity shares of Rs.10/- each. The preference share capital is Rs.25,00,00,000/- divided into authorised share capital 25,00,000 preference shares of Rs.100/- each. The main objects of the

[1] *Pages 443 to 455 of the Petition*

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Company are to carry on the business of Processing, export, manufacturing, sell, deal, barter, whether as wholesalers or retailers or as exporters or importers or as principals or agents or brokers or otherwise or to catch Aqua and procure sea foods and preserve, smoke, Cure, freeze, prepare or process Prawn, Shrimp, fish and sea foods and to manufacture or procure any substances or articles wholly or partially from fish or sea foods for human or animal consumption. In addition to the above, to carry on the business of keepers, warehousemen and transporters of Prawn, Shrimp, fish, sea foods, processed fish and sea foods, vegetables, fruits, meats, eggs, poultry and foods of every description and to further purchase, sell, lease, exchange, hire or otherwise acquire, deal, operate, equip and use trawlers, vessels, plants, apparatus, equipment and articles for catching procuring, processing, packing, bottling, caning and extracting fish, fish products, sea foods of all kinds.

ii. M/s Satya Sea Foods Private Limited, 2nd Petitioner/2nd Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 13.12.1985 and the Authorized share capital of the 2nd Transferor Company is Rs.12,50,00,000/- divided into 12,50,000 Equity shares of Rs.100/- each. The issued, subscribed and paid-up capital is Rs.2,00,00,000/- dived into 2,00,000 fully paid-up equity shares of Rs.100/- each. The main objects of the company are to carry on the business of acquiring, take on charter

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Mechanized Fishing Trawlers of any length, foreign or indigenous or from any other source or any other types of fishing boats foreign or indigenous from 'within or outside India, to catch prawn, fish and other sea foods by operation of mechanized trawlers, boats, country boats or any other craft suitable for catching any variety of fish, prawn or sea foods and to purchase, sell in home markets or to export to foreign countries with or without processing. In addition to the above, to carry on the business in Harvesting of Sea Foods, River Foods and to catch or arrange for the catch of all types of fish, prawns, frogs, crabs, shrimps, lobsters and other crustacea including all other sea foods or water foods, to freeze and preserve in cold storage, to export and to appoint agents to purchase, sell sea foods, river foods and other allied products for the purpose of carrying on business in the Company's products. Further to establish and set up modern cold storage and deep-freezing plant and take the sane on hire, for processing and preserving all kinds of foods stuffs, drugs, fruits, vegetables, fish, meat and all other eatables and to give the same on hire and to carry on inland and deep-sea fishing, fish culture, forming pearl culture, deep sea mining, drilling, seasmic surveys, oceanographic research and exploration.

iii. M/s DSF Aquatech Private Limited, 3rd Petitioner/ 3rd Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 16.09.1993 and the Authorized share capital of the 3rd Transferor Company is

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Rs.40,00,000/- divided into 4,00,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.23,30,000/- dived into 2,33,000 fully paid-up equity shares of Rs.10/- each. The main objects of the company are to carry on the business of establishment, development, to own, maintain and run shrimp hatcheries to produce, breed, rear, sell, import, export, deal and trade in all kinds of prawn, shell fish , fin fish, tuna fish and other sea water foods and to promote, establish, improve, develop, administer, own and run aquaculture farms, ponds for culturing all types of prawn, shrimp, fish and other crustaceans and to carry on the business of exporters, processors, dealers and traders in all kinds of seafoods like prawns, shrimps, lobster fish and for this purpose to establish and set up a modern cold storage and deep freezing plant.

iv. Presently, all the Transferor Companies are carrying on the business of processing, grading, raising, breeding and selling of sea foods within and outside India. Certified true copies of the Memorandum and Articles of Association of all the Transferor Companies together with Certificate of Incorporation issued by Registrar of Companies, Vijayawada.

v. M/s Devi Fisheries Limited, 4th Petitioner/ Transferee Company was incorporated as a Unlisted Public Limited Company under the Provisions of the erstwhile Companies Act, 1956 on 14.05.1997 and the Authorized share capital of the Transferee Company is Rs.4,50,00,000/- divided into 45,00,000 Equity shares of Rs.10/-

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each. The issued, subscribed and paid-up capital is Rs.3,68,94,800/- dived into 36,89,480 fully paid-up equity shares of Rs.10/- each. The main objects of the company are to carry on the business of exporters, processors, dealers in all kind of sea foods lime prawns, shrimps, lobsters, pomfr sharks and eels and to further acque, take on charter Mechanized Fishing Trawlers of any length, foreign or indigenous or from any other source or any other types of fishing boats foreign or indigenous from 'within or outside India, to catch prawn, fish and other sea foods by operation of mechanized trawlers, boats, country boats or any other craft suitable for catching any variety of fish, prawn or sea foods and to purchase, sell in home markets or to export to foreign countries with or without processing. In addition to the above, to carry on the business in Harvesting of Sea Foods, River Foods and to catch or arrange for the catch of all types of fish, prawns, frogs, crabs, shrimps, lobsters and other crustacea including all other sea foods or water foods, to freeze and preserve in cold storage, to export and to appoint agents to purchase, sell sea foods, river foods and other allied products for the purpose of carrying on business in the Company's products, and to carry on inland and deep sea fishing, Aqua culture, forming pearl culture, deep sea mining, drilling, seismic, surveys, oceanographic research and exploration.

vi. According to the Petitioner Companies, the Transferee and Transferor companies are closely held nature of the companies.

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The Transferee Company is unlisted public company and all the Transferor companies are wholly-owned subsidiary companies of the Transferee Company with their entire shareholding held by the Transferee Company without there being any public interest involved. Due to the similarities and possible integration of the businesses of the Transferee and Transferor Companies, as well as for ease of administrative, management and accounting of all the entities, the Schem of Amalgamation has been approved by the Companies and due to the time constraints of the management on account of multiplicity of works and compliances, the management of the companies is unable to fully focus on the business and achieve optimum results and the merger is therefore for consideration of the business and the companies and the amalgamation of three Transferor Companies with the Transferee Company would inter alia help in consolidation of the businesses of the companies and would be beneficial to all the companies and the management of the companies will be in a better position to focus their attention and energies and achieve good and improved results. That the proposed amalgamation would be in the interest of not only the shareholders of the companies, but also the creditors, customers and employees generally and that consolidation of the businesses of both the companies would result in a financially and operationally sound entity with better net-

[2] *Pages 25 to 32 of the petition*

worth and valuation, which in turn, would attract investment by investors and further funding by the bankers for expansion.

5. The Board of Directors of the Transferor Companies and Transferee Company in their respective Board Meetings[3] held on 25.08.2023 have approved the Scheme of Amalgamation with appointed date as 01.09.2023. Consent, by way of Affidavit and No Objection to the Scheme supported by the Board, was also obtained from the Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Petitioner Companies.

6. No dues or filing returns are pending with regard to the Statutory Authorities in relation to the Petitioner Companies.

7. No investigation or proceedings have been instituted or are pending in relation to the Petitioner Companies.

8. As per the section 230 (7) of the Act, the certificate dated 25.09.2023[4] issued by the Statutory Auditors of all the Petitioner Companies Chowdary & Rao, Chartered Accountants., certified that the proposed accounting treatment in the books of the companies as specified in Clause 12 Accounting Treatment is in compliance with the Indian Accounting Standards prescribed under Section 133 of the Act.

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[3] *Page No.36 of the petition*
[4] *Pages 414 to 429 of the petition*

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9. The Petitioner companies have averred that the amalgamation of 'Transferor Companies with the Transferee Company would, inter alia, the Rationale of the Scheme[5] are:

a. The merged entity will have the better asset base, scope for diversion and creation of new platforms of business and better net worth.

b. All the Transferor companies are wholly-owned subsidiary companies with their entire shareholding held by the Transferee Company. Because of existing integration and similarity of the business of the Transferee and Transferor Companies, as well as the administrative, management and accounting difficulties in carrying on the business by the management in different entities and the time constraints of the management on account of multiplicity of works and compliances, the management of the companies is unable to fully focus to the business and achieve optimum business and the merger is therefore for consolidation of the business and the companies.

c. The combined or merged entity will have better capital adequacy and debt to equity ratio, net worth and asset base.

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d. Added net worth and assets base will help the Transferee Company to raise funds required for any further expansion of its business or diversion to new fields.

e. The merger of the Companies will result in synergy of operations and avoidance of administrative inconveniences and saving establishment cost and compliances of law in addition to reducing the procedural compliances and duplications.

f. The proposed Amalgamation would result in consolidation of the businesses of the companies and enable the management to give focused attention to the business.

g. The proposed scheme is beneficial to the Shareholders and creditors of both Companies.

10. In the second motion proceedings, this Tribunal Vide order dated 06.03.2024 directed to issue notices to Statutory Authorities and also directed to issue paper publication in Indian Express (English Daily) and Prajashakti (Telugu Daily) and the same were complied with by filing a memo of compliance. It has also stated that the copies of notices were served upon the (a) Regional Director (SER), Hyderabad, MCA by Speed Post; (b) Registrar of Companies, AP, MCA and (c) Income

[5] *Page 36 & 37 of the Petition*

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Tax Department by way of email and acknowledgment receipts evidencing the delivery of notices are also attached to the Petition.

11. The Regional Director (RD) filed his report by dairy no.871 dated 24.06.2024 and raised the following objections and the Petitioner Companies replied to the same as detailed below:

S. No	**RD's Observations**	**Reply of the Petitioner Companies by way of affidavit filed on 27.06.2024 along with amended Scheme**
1	The Directorate i.e., RD (SER) has received a letter No. ROCV/Amal/230-232/93615,6027, 16314 & 27100/2024/43 dated 07.03.2023 from the Registrar of Companies, Andhra Pradesh by pointing out certain observations as under:-	
	(a) To direct the Petitioner Companies to preserve its books of accounts & papers & records and not to dispose of without prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013	The Petitioner Companies have given their undertaking that as per the provisions of Section 239 of the Companies Act, 2013, the Transferee Company will preserve its books of accounts and papers and records of the Transferor and Transferee Companies permanently and shall not be disposing off

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		without the prior permission of the Central Government
	(b) To direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the Petitioner companies shall not be absolved for any of its statutory liabilities in any manner.	The Petitioner Companies have given their undertaking that they will ensure all statutory compliances as applicable laws and also on sanctioning of the present Scheme the Petitioner companies shall not be absolved for any of their statutory liability in any manner.
	(c) To direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of Registrar of Company by the Petitioner Companies.	The Petitioner Companies have given their undertaking that they will comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the Registrar of Companies, Vijayawada.
2	The Directorate i.e., RD (SER) has received a letter from Assistant Commissioner of Income Tax, Circle 3(1)(i/c),	The Petitioner Companies confirm that it is factual in nature and hence no comments.

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	Visakhapatnam stating no objection to the proposed Scheme.	
3	After examination of the Scheme, the RD (SER) by pointing out certain observations are as under:-	
	(a) Transferor Company 3 obtained inter-corporate loans from Transferee Company. Compliance of the provisions of Section 185/186 of the CA, 2013 may be submitted/clarified by the Transferor Company-3 before considering sanction of the Scheme by the Hon'ble Tribunal.	The Petitioner Companies submitted that as per the Directions and observations of RD (SER), the inter-corporate loans Transferor Company-3 obtained from Transferee Company are in compliance with the Provisions of section 185/186 of the Companies Act, 2013.
	(b) The appointed date for the proposed scheme is 01.09.2023. The petitioner companies may be directed to justify the reason for choosing the above date as Appointed Date since it is not the closing date of any Financial Year.	The Petitioner Companies submitted that the management believes that aligning the appointed date with the start of the second half of the year, i.e., 01.09.2023, will facilitate a cohesive alignment of financial operations across all involved companies. This timeline allows

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		for the closure and completion of necessary financial transactions in each company before consolidating and aligning their financial positions. The management is of the view that taking 01.09.2023 as the appointed date enables smoother integration of operations and systems post-amalgamation. This ensures that all aspects of the amalgamation can be effectively coordinated and implemented across the entities involved. The decision to select 01.09.2023 has been made after careful assessment of the tax implications associated with the transfer of assets and liabilities. Aligning the appointed date with this timeline helps in managing and optimizing tax consequences effectively.
	(c) As per Clause 7 of the Scheme, it is stated that the entire paid-	The Petitioner Companies have given their undertaking that

		up capital of all Transferor Companies were held by the Transferee Company along with its nominees resulting to a wholly owned subsidiary status of the Transferor Companies and upon the scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of its holding in the Transferor Company and the paid up capital of Transferor Companies shall stand cancelled.	upon sanction of the Scheme, the entire paid up capital of all Transferor Companies, held by the Transferee Company along with its nominees resulting to a wholly owned subsidiary status of the Transferor Companies and upon the scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of its holding in the Transferor Company and the paid up capital of Transferor Companies shall stand cancelled.
	(d)	As per Clause 8.1 of the Scheme, it is stated that upon the scheme becoming effective, the Authorized capital of the Transferor Companies will be merged with the Transferee Company without any further act or deed or payment of any fee. In this regard, the Transferee Company may be directed to furnish an undertaking with regard to	The Petitioner Companies have given their undertaking that the upon sanction of the Scheme the Transferee Company shall comply the provisions of section 232(3)(i)of the Companies Act, 2013 and pay the differential fee after setting of the fee already paid by the Transferor Companies.

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	compliance of the provisions of Section 232(3) (i) of the Companies Act, 2013 and pay the differential fee after setting of the fee already paid by the Transferor Companies.	
	(e) All the inter-corporate loans or cross holdings/ investments will be cancelled and the Transferee Company shall square up such transactions.	The Petitioner Companies have given their undertaking that upon sanction of the Scheme All the inter-corporate loans or cross holdings/ investments will be cancelled and the Transferee Company shall square up such transactions.
	(f) The Para-13 of the Scheme of amalgamation speaks about "Accounting Treatment in the Books of Accounts of the Transferee Company" and in Para 13(iii) of the Scheme, it is stated that' *"The difference between the amount of net assets taken over by the Transferee Company over the investment in the Transferor Companies along with any other unrealizable assets of the Transferee*	The Petitioner Companies have submitted that as per the Directions and observations of Regional Director, Southeast Region, Hyderabad, the para 13(iii) of the Scheme has been modified in line of the provisions of Accounting Standard-14.

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	Company, whether fixed or intangible or current or any diminution in the value of the investment, if and to the extent these items identified and considered necessary by the Board of Directors of the Transferee Company shall be adjusted against such accounts of the Transferee Company as may deem fit by the Board of Directors. Further, the consolidated accounts of the Transferee Company after amalgamation would reflect the adjustments and procedure followed for the accounting treatment of the amalgamation as may be deemed fit by the Board of Directors" It is to submit that the above contention in the Scheme is not in line with the provisions of Accounting Standard-14 of the Companies Act, 2013. Since the Accounting Treatment in the books of the Transferee Company shall be made in terms	

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	of provisions of Accounting Standard-14 only, hence the para 13 (iii) requires to be suitably modified in line of the provisions of Accounting Standard-14 and the power given to the Board of Directors in this regard as stated supra to be deleted.	
	(g) Para 13(v) of the Scheme speaks that in case of any differences in accounting policies between Transferor Companies and Transferee Company, a uniform set of accounting policies will be adopted by the Board of Directors of the Transferee Company following the amalgamation. The effects on therein the Financial Statements, any changes in accounting policies shall be adjusted in accordance with Accounting Standard-14 viz., `Net Profit Loss for the period, prior period items and changes in Accounting Policies' governed by the Companies (Accounting	The Petitioner Companies have submitted that as per the Directions and observations of RD (SER), they hereby modify Para 13(v) of the Scheme suitably by amending the words "Accounting Standard-14" to "Accounting Standard-05" read with Section 129 of the Companies Act, 2013.

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	Standards) Rules 2006. It is to submit that the above contention of Accounting Standard-14 is not correct since the Accounting Standard-5 speaks about "Net Profit or Loss for the period, prior period items and changes in Accounting Policies". In view of the above, it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to modify the Para 13(v) of the Scheme by modifying Accounting Standard-14 to Accounting Standard-05 read with Section 129 of the Companies Act, 2013	

12. In accordance with the aforesaid report, the RD (SER) is satisfied with the response provided by the petitioners. Consequently, the Representative of RD(SER) submits that they have no objection to the approval of the contended scheme.

13. The Official Liquidator (OL) made certain observations and the Petitioner Companies have filed reply to the report of the Official Liquidator (OL) which is as follows:

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S. No	Observations of Official Liquidator filed on 29.05.2024 by dairy no.717	Reply of the Petitioners Company filed on 04.06.2024
1	That, Clause 1.11(e) of Part-"II" of the Scheme seeks to protect all the permanent employees engaged by the Transferor Companies on the Effective Date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking to this Hon'ble Tribunal to the effect that there would no retrenchment of any employee who were in service as on the Appointed Date (i.e. 01.09.2023) as well.	The Transferee Company undertakes that upon sanction of the Scheme of Amalgamation by this Tribunal, the Transferee Company will protect all the interest of the permanent employees engaged by the Transferor Companies on the Effective Date and they will be treated equally with the employees of the Transferee Company in all aspects and no action would be imitated which causes the disadvantages position of the Employees of the Transferor Companies.
2	That, Clause 1.12 of Part – "II" of the Scheme dealing with 'Record Date', leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Directors of Transferee	The Transferor & Transferee Companies undertake that that as per the observations/directions of Official Liquidator for the States of Telangana and

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	Company alone without the involvement of Transferor Companies and hence, this Hon'ble Tribunal may be pleased to direct the Transferee Company (M/s. Devi Fisheries Limited) to submit an undertaking to this Hon'ble Tribunal to the effect that the Record Date would be decide and fixed mutually by the Board of Directors of Transferor & Transferee Companies.	Andhra Pradesh, the Board of Directors of Transferor & Transferee Companies have met on 30th May, 2024 and mutually agreed to fix the Record date as 1st day of September 2023. The Board Resolution has also been obtained for supporting the same dated 30.05.2024.
3	That, Clauses 13 of Part-III of the Scheme provides for Accounting Treatment in the books of accounts of the Transferee Company. However, in the said clause, the specific accounting treatment/method that has to be followed upon the sanction of the scheme is not mentioned. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to specify the accounting treatment / method that has to follow upon the sanction of the scheme.	The Transferor and Transferee Companies undertake that as per the observations/directions of Official Liquidator for the States of Telangana and Andhra Pradesh in Para 22(d), upon the sanction of the Scheme by the Hon'ble Company Law Tribunal the Transferor and Transferee Companies will follow as per Clause -12 Accounting Treatment under Part-III – General Terms and

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		Conditions of the draft scheme complied with Indian Accounting Standard 103 Business Combination.

14. The Official Liquidator (OL) after considering the said reply by the Petitioner Company, did not raise any further objections against accepting the Scheme of Amalgamation of the Petitioner Company.

15. We have heard the Learned Counsel appearing for the Petitioners, Assist Director appearing for the RD (SER), and perused the records.

16. We have considered the observations made by the RD and OL and the Reply filed by the Petitioner Companies. We are satisfied with the response given by the Petitioners w.r.t observations made by the RD and OL.

17. Certificates of respective Statutory Auditors of all the petitioner companies, have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

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18. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions.

19. The Hon'ble Supreme Court in ***Miheer H. Mafatal v/s. Mafatlal Industries Ltd*** [6] while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 391 read with Section 393 of the Companies Act, 1956[7], observed as under:

> *"It is commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromise as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Courts jurisdiction to that extent is peripheral and supervisory and not appellate."*

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In view of the law laid down by the Supreme Court, this Tribunal is not supposed to examine the merits/benefits of the commercial wisdom of the decision of the shareholders.

20. It has also been affirmed in the petition that the Scheme is in the interest of all the Transferor companies and the Transferee company, including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

21. On the basis of the above facts and submissions made by the learned counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, reports of the Regional Director and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. It appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the Petitioner Companies. We are of the considered view that the proposed Scheme of Demerger is bona fide and in the interest of the shareholders and creditors.

22. In the result, the Company Petition is allowed with the following directions:-

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[6] *Miheer H. Mafatal v/s. Mafatlal Industries Ltd 1 (Order dated 11.09.1996) [Citation: JT 1996 (8) 205]*

[7] *Section 391 of the Companies Act, 1996: Power to compromise or make arrangements with creditors and members & Section 393 of the Companies Act, 1996: Information as to compromises or arrangements with creditors and members*

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a) Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioners.

b) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

c) The Scheme of Amalgamation (Copy of the Revised Scheme enclosed at Page No.**6 to 40** of the Affidavit filed on 27.06.2024 vide dairy No.**888**) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

d) The Scheme shall become effective from the Appointed Date i.e., **01.09.2023** and shall be made operational from the date of filing of the orders with the Registrar of Companies.

e) That the Transferor Companies shall stand dissolved without following the process of winding-up; and

Sd/-

Sd/-

f) All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Investment Undertaking along with all the assets and liabilities of the Transferor Companies shall stand transferred to and vest in the Transferee Company, without any further act or deed. The Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company.

g) All the liabilities of the Investment Undertaking of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 and 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company.

h) All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Investment Undertaking of the Transferor Companies, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually against the Transferee Company.

Sd/-

Sd/-

i) All taxes paid or payable by the Investment Undertaking of the Transferor Companies including existing and future incentives, un-availed credits and exemptions, benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Transferee Company.

j) All proceedings now pending by or against the Investment Undertaking of the Transferor Companies, if any, shall be continued by or against the Transferee Company.

k) All employees in the service of the Investment Undertaking of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company on date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not have been interrupted by reasons of the said transfer and on terms and conditions no less favourable than those on which they were/ are engaged, as on the Effective Date.

l) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

m) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal.

Sd/-

Sd/-

The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

n) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the Registrar of Companies, Andhra Pradesh electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

o) Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Amalgamation ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Amalgamation under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

p) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete

Sd/-

Sd/-

information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

q) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

r) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them.

s) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

t) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

23. Accordingly, the Scheme stands sanctioned and the Company Petition bearing **CP(CAA)/1/230/AMR/2024** connected with **CA(CAA)/7/230/AMR/2023** is allowed and stands disposed of, in terms of the above order.

Sd/-

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu

BEFORE THE HON'BLE NATIONAL COMPANY LAW TRIBUNAL

BENCH AT AMARAVATHI

IN THE MATTER OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF

MODIFIED SCHEME OF AMALGAMATION

(UNDER SECTION 230 AND 232 OF THE COMPANIES ACT, 2013)

BETWEEN

M/s DEVI AQUATECH PRIVATE LIMITED

(1st TRANSFEROR COMPANY)

AND

M/s SATYA SEA FOODS PRIVATE LIMITED

(2nd TRANSFEROR COMPANY)

AND

M/s DSF AQUATECH PRIVATE LIMITED

(3rd TRANSFEROR COMPANY)

AND

M/s DEVI FISHERIES LIMITED

(TRANSFEREE COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS

PART – I

PREAMBLE:

This Scheme of Amalgamation is presented pursuant to Section 230/232 read with other applicable provisions of the Companies Act, 2013 as amended from time to time and the Rules made thereunder, for amalgamation of M/s Devi Aquatech Private Limited, M/s Satya Sea Foods Private Limited and M/S DSF Aquatech Private Limited with M/s Devi Fisheries Limited. This scheme of amalgamation is between the above companies and their respective members and the scheme does not provide for any compromise or arrangement with any creditor or creditors or class of creditors. Similarly, the scheme does not seek to vary the rights, privileges, terms, conditions and the benefits of the creditors of any class

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(I.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

or classification for which they are entitled as on the appointed date or the obligations of the companies towards them.

1. M/s Devi Aquatech Private Limited, (herein after referred to as 1st Transferor Company) the corporate particulars in respect of which are given under part II of this scheme was mainly incorporated to carry on the business of Processing, export, manufacturing, sell, deal, barter, whether as wholesalers or retailers or as exporters or importers or as principals or agents or brokers or otherwise or to catch Aqua and procure sea foods and preserve, smoke, Cure, freeze, prepare or process Prawn, Shrimp, fish and sea foods and to manufacture or procure any substances or articles wholly or partially from fish or sea foods for human or animal consumption. In addition to the above, to carry on the business of keepers, warehousemen and transporters of Prawn, Shrimp, fish, sea foods, processed fish and sea foods, vegetables, fruits, meats, eggs, poultry and foods of every description and to further purchase, sell, lease, exchange, hire or otherwise acquire, deal, operate, equip and use trawlers, vessels, plants, apparatus, equipment and articles for catching procuring, processing, packing, bottling, caning and extracting fish, fish products, sea foods of all kinds.

2. M/s Satya Sea Foods Private Limited, (herein after referred to as 2nd Transferor Company) the corporate particulars in respect of which are given under part II of this scheme was mainly incorporated to carry on the business of acquiring, take on charter Mechanized Fishing Trawlers of any length, foreign or indigenous or from any other source or any other types of fishing boats foreign or indigenous from 'within or outside India, to catch prawn, fish and other sea foods by operation of mechanized trawlers, boats, country boats or any other craft suitable for catching any variety of fish, prawn or sea foods and to purchase, sell in home markets or to export to foreign countries with or without processing. In addition to the above, to carry on the business in Harvesting of Sea Foods, River Foods and to catch or arrange for the catch of all types of fish, prawns, frogs, crabs, shrimps, lobsters and other crustacea including all other sea foods or water foods, to freeze and preserve in cold storage, to export and to appoint agents to

For DEVI FISHERIES LTD
(T. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

purchase, sell sea foods, river foods and other allied products for the purpose of carrying on business in the Company's products. Further to establish and set up modern cold storage and deep freezing plant and take the sane on hire, for processing and preserving all kinds of foods stuffs, drugs, fruits, vegetables, fish, meat and all other eatables and to give the same on hire and to carry on inland and deep sea fishing, fish culture, forming pearl culture, deep sea mining, drilling, seasmic surveys, oceanographic research and exploration.

3. M/s DSF Aquatech Private Limited, (herein after referred to as 3rd Transferor Company) the corporate particulars in respect of which are given under part II of this scheme was mainly incorporated to carry on the business of establishment, development, to own, maintain and run shrimp hatcheries to produce, breed, rear, sell, import, export, deal and trade in all kinds of prawn, shell fish , fin fish, tuna fish and other sea water foods and to promote, establish, improve, develop, administer, own and run aquaculture farms, ponds for culturing all types of prawn, shrimp, fish and other crustaceans and to carry on the business of exporters, processors, dealers and traders in all kinds of seafoods like prawns, shrimps, lobster fish and for this purpose to establish and set up a modern cold storage and deep freezing plant.

4. M/s Devi Fisheries Limited, (herein after referred to as Transferee Company) the corporate particulars in respect of which are given under part II of this scheme was incorporated to carry on the business of Exporters, Processors, dealers in all kind of sea foods lime prawns, shrimps, lobsters, pomfr sharks and eels and to further acquiring, take on charter Mechanized Fishing Trawlers of any length, foreign or indigenous or from any other source or any other types of fishing boats foreign or indigenous from 'within or outside India, to catch prawn, fish and other sea foods by operation of mechanized trawlers, boats, country boats or any other craft suitable for catching any variety of fish, prawn or sea foods and to purchase, sell in home markets or to export to foreign countries with or without processing. In addition to the above, to carry on the business in Harvesting of Sea Foods, River Foods and to catch or arrange for the catch of all types of fish, prawns,

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.M. MURTHY)
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

frogs, crabs, shrimps, lobsters and other crustacea including all other sea foods or water foods, to freeze and preserve in cold storage, to export and to appoint agents to purchase, sell sea foods, river foods and other allied products for the purpose of carrying on business in the Company's products, and to carry on inland and deep sea fishing, fish culture, forming pearl culture, deep sea mining, drilling, seasmic surveys, oceanographic research and exploration.

PART - II

1. DEFINITIONS:

In this scheme, unless inconsistent with the subject or context, the following expressions shall have the following meanings:

1.1. **"The Act"** shall mean the Companies Act, 2013 as amended from time to time.

1.2. **"Appointed Date"** shall mean the 01st day of September, 2023.

1.3. **"Board of Directors"** shall mean collectively and individually the Board of Directors of the Company.

1.4. **"NCLT"** shall mean the Hon'ble National Company Law Tribunal, Amaravati Bench.

1.5. **"The effective Date"** for the scheme of amalgamation shall mean the date on which all the approvals for the scheme required are received and certified copies of the orders of the Hon'ble NCLT under Section 230 & 232 of the Companies Act, 2013 of the Transferor Companies and Transferee Company are filed with the Registrar of Companies, Andhra Pradesh at Vijayawada and if the certified copies of the companies are filed on different dates, the last of such filing date.

1.6. **"Scheme"** shall mean this Scheme of Amalgamation between M/s Devi Aquatech Private Limited, M/s Satya Sea Foods Private Limited and M/s DSF Aquatech Private Limited With M/s Devi Fisheries Limited and their respective members in its present

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

form or in such modified form as may be sanctioned and approved by the Hon'ble NCLT.

1.7. **"The Transferor Companies"** shall mean

a) M/s Devi Aquatech Private Limited, (herein after referred to as 1st Transferor Company) wherein the 1st Transferor Company was incorporated under the Provisions of the erstwhile Companies Act, 1956 on 19th March, 2014 vide Corporate Identity Number: U15122AP2014PTC093615 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh, with its Registered Office situated at D.NO.6-21-7, East Point Colony, Visakhapatnam, Andhra Pradesh 530017

b) M/s Satya Sea Foods Private Limited, (herein after referred to as 2nd Transferor Company) wherein the 2nd Transferor Company was incorporated under the Provisions of the erstwhile Companies Act, 1956 on 13th December, 1985 vide Corporate Identity Number: U05005AP1985PTC006027 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh, with its Registered Office situated at D.NO.12-2-15/1, Main Road, Samarlakota, Andhra Pradesh 533440

c) M/s DSF Aquatech Private Limited, (herein after referred to as 3rd Transferor Company) wherein the 3rd Transferor Company was incorporated under the Provisions of the erstwhile Companies Act, 1956 on 16th September, 1993 vide Corporate Identity Number: U05005AP1993PTC016314 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh, with its Registered Office situated at D.No.6-21-7 East Point Colony VISAKHAPATNAM AP 530017

1.8. **"Tribunal"** shall mean the Hon'ble National Company Law Tribunal, Amaravati Bench having jurisdiction to sanction this scheme.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(K.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

1.9. **"The Transferee Company"** shall mean M/s Devi Fisheries Limited, (herein after referred to as Transferee Company) incorporated under the Provisions of the erstwhile Companies Act, 1956 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh on 14th May, 1997 vide Corporate Identity Number: U05005AP1997PLC027100, with its Registered Office situated at D.No.6-21-7 East Point Colony Visakhapatnam Andhra Pradesh 530017

1.10. **"Amalgamated Company"** shall mean the merged entity after the merger of the Transferor Companies with the Transferee Company.

1.11. **"The Undertaking of the Transferor Companies** "means the whole of the undertaking and entire business of the Transferor Companies as a going concern, including (without limitation):

a). All the assets and properties (whether movable or immovable, tangible or intangible, real or personal, corporeal or incorporeal, present, future or contingent) of the Transferor Company, including but not limited to, plant and machinery, equipment, buildings and structures, offices, residential and other premises, sundry debtors, furniture, fixtures, office equipment, appliances, accessories, depots, deposits, all stocks, assets, investments of all kinds (including shares, scrips, stocks, bonds, debenture stocks, units), and interests in its subsidiaries, cash balances or deposits with banks, loans, advances, disbursements, contingent rights or benefits, book debts, receivables, actionable claims, earnest moneys, advances or deposits paid by the Transferor Company, financial assets, leases (including lease rights), hire purchase contracts and assets, lending contracts, rights and benefits under any agreement, benefit of any security arrangements or under any guarantees, reversions, powers, municipal permissions, tenancies in relation to the office and/or residential properties for the employees or other persons, guest houses, godowns, warehouses, licenses, fixed and other assets, trade and service names and marks, patents, copyrights, and

For DEVI FISHERIES LTD
(S. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATVA SEA FOODS PRIVATE LIMITED
Director

other intellectual property rights of any nature whatsoever, know how, good will, rights to use and avail of telephones, telexes, facsimile, email, internet, leased line connections and installations, utilities, electricity and other services, reserves, provisions, funds, benefits of assets or properties or other interest held in trust, registrations, contracts, engagements, arrangements of all kind, privileges and all other rights including, title, interests, other benefits (including tax benefits), easements, privileges, liberties, mortgages, hypothecations, pledges or other security interests created in favour of the Transferor Company and advantages of whatsoever nature and wheresoever situated in India or abroad, belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of or enjoyed by the Transferor Company or in connection with or relating to the Transferor Company and all other interests of whatsoever nature belonging to or in the ownership, power, possession or the control of or vested in or granted in favour of or held for the benefit of or enjoyed by the Transferor Company, whether in India or abroad.

b). All liabilities including, without being limited to, secured and unsecured debts (whether in Indian rupees or foreign currency), sundry creditors, liabilities (including contingent liabilities), duties and obligations of the Transferor Company, of every kind, nature and description whatsoever and howsoever arising, raised or incurred or utilized;

c), All agreements, rights, contracts, entitlements, permits, licenses, approvals, authorizations, concessions, consents, quota rights, engagements, arrangements, authorities, allotments, security arrangements (to the extent provided herein), benefits of any guarantees, reversions, powers and all other approvals of every kind, nature and description whatsoever relating to the business activities and operations of the Transferor Company;

d). All records, files, papers, computer programs, manuals, data, catalogues, sales material, lists of customers and suppliers,

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For Satya Sea Foods Pvt. Ltd.
Director

other customer information and all other records and documents relating to the business activities and operations of the Transferor Company;

e). Upon sanction of the Scheme of Amalgamation by this Hon'ble, National Company Law Tribunal, the Transferee Company will protect all the interest of the permanent employees engaged by the Transferor Companies on the Effective Date and they will be treated equally with the employees of the Transferee Company in all aspects and no action would be imitated which causes the disadvantages position of the Employees of the Transferor Companies.

f). all quotas, rights, entitlements, export/import incentives and benefits including advance licenses, bids, tenders (at any stage as it may be), letters of intent, expressions of interest, development rights (whatever vested or potential and whether under agreements or otherwise), subsidies, tenancies in relation to office, benefit of any deposits privileges, all other rights, receivables, powers and facilities of every kind, nature and description whatsoever, rights to use and avail of telephones, telexes, facsimile connections and installations, utilities, electricity and other services, provisions and benefits of all agreements, contracts and arrangements, including technological licensing agreements, and all other interests in connection with or relating thereto;

1.12. **"Record Date"** 1st day of September 2023.

1.13. **"Registrar of Companies"** shall mean the Registrar of Companies at Vijayawada for the State of Andhra Pradesh.

1.14. **"Shareholders"** shall mean the person registered (whether registered owner of the shares or beneficial owner of the shares) as holders of equity shares of concerned Company as the context may require. The word "Shareholder" and "Member" are used to denote the same meaning and are used interchangeably.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

Director

1.15. Reference in the scheme to "Coming into effect the scheme "or "effectiveness of the Scheme" shall mean the effective date.

1.16. Word(s) and expression(s) elsewhere defined in the scheme will have the meaning(s) respectively described.

1.17. The expressions which are used in this Scheme and not defined in this Scheme shall, unless repugnant or contrary to the context or meaning hereof, have the same meanings ascribed to them under the Act and other applicable laws, rules, regulations, bye-laws, as the case may be, including any statutory modification or re-enactment thereof from time to time.

PART – III

1. EFFECTIVE DATE AND OPERATIVE DATE:

The Scheme though operative from the effective date shall be effective from the appointed date, however, the scheme shall not become operative until all necessary approvals and sanctions are obtained and certified copies of the orders under Section 230 and 232 of the Act duly filed by the Transferee and Transferor Companies with the Registrar of Companies, Andhra Pradesh at Vijayawada. As and when the scheme becoming effective, the same shall be effective from the Appointed Date.

2. INCORPORATION:

2.1 M/s Devi Fisheries Limited, (herein after referred to as Transferee Company), incorporated under the Provisions of the erstwhile Companies Act, 1956 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh on 14th May, 1997 vide Corporate Identity Number: U05005AP1997PLC027100

2.2 M/s Devi Aquatech Private Limited, (herein after referred to as 1st Transferor Company), was incorporated under the Provisions of the erstwhile Companies Act, 1956 on 19th March, 2014 vide Corporate Identity Number: U15122AP2014PTC093615 registered with the Registrar of Companies Vijayawada.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For SILVER SEA FOODS PRIVATE LIMITED
Director

2.3 M/s Satya Sea Foods Private Limited, (herein after referred to as 2nd Transferor Company), was incorporated under the Provisions of the erstwhile Companies Act, 1956 on 13th December, 1985 vide Corporate Identity Number: U05005AP1985PTC006027 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh

2.4 M/s DSF Aquatech Private Limited, (herein after referred to as 3rd Transferor Company) incorporated under the Provisions of the erstwhile Companies Act, 1956 on 16th September, 1993 vide Corporate Identity Number: U05005AP1993PTC016314 in the combined State of Andhra Pradesh and now in the State of Andhra Pradesh.

3. CAPITAL STRUCTURE OF THE COMPANIES:

3.1 The present Authorized and Issued, Subscribed and fully Paid up Share Capital of The Transferee Company viz., "M/s Devi Fisheries Limited" as on 31.03.2023 is as follows:-

Particulars	No of Shares	Amount in Lakhs
Authorized Share Capital- Equity Shares @10/- each	45,00,000 shares	450.00
Authorized Share Capital- Preference @ 100/- each	Nil	Nil
Issued Paid and Subscribed - Equity Shares @10/- each after buy back	36,89,480 shares	368.95
Issued Paid and Subscribed- Preference @ 100/- each	Nil	Nil

3.2 The Authorized Share Capital of "M/s Devi Aquatech Private Limited", the 1st Transferor Company as on 31.03.2023 is as follows:-

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

Particulars	No of Shares	Amount in Lakhs
Authorized Share Capital - Equity Shares @10/- each	6,40,00,000 shares	6,400.00
Authorized Share Capital - Preference @ 100/- each	25,00,000 shares	2,500.00
Issued Paid and Subscribed - Equity Shares @10/- each	6,30,65,400 shares	6,306.54
Issued Paid and Subscribed - Preference @ 100/- each	Nil	Nil

3.3 The Authorized Share Capital of M/s Satya Sea Foods Private Limited the 2nd Transferor Company as on 31.03.2023 is as follows:-

Particulars	No of Shares	Amount in Lakhs
Authorized Share Capital - Equity Shares @100/- each	12,50,000 shares	1,250.00
Authorized Share Capital - Preference @ 100/- each	Nil	Nil
Issued Paid and Subscribed - Equity Shares @100/- each	2,00,000 shares	200.00
Issued Paid and Subscribed - Preference @ 100/- each	Nil	Nil

3.4 The Authorized Share Capital of M/s DSF Aquatech Private Limited the 3rd Transferor Company as on 31.03.2023 is as follows:-

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

Particulars	No of Shares	Amount in Lakhs
Authorized Share Capital - Equity Shares @10/- each	4,00,000 shares	40.00
Authorized Share Capital - Preference @ 10/- each	Nil	Nil
Issued Paid and Subscribed - Equity Shares @10/- each	2,33,000 shares	23.30
Issued Paid and Subscribed - Preference @ 10/- each	Nil	Nil

3.5 The post-merger Authorized capital of the Transferee Company will be Rs.106,40,00,000/- (Rupee One Hundred Six Crores and Forty Lakhs only) divided into 10,64,00,000 equity shares of Rs.10/- each and the capital paid up and subscribed will be Rs.3,68,94,800 /- divided into 36,89,480 equity shares of Rs.10/- each.

4. TRANSFER OF ASSETS AND LIABILITIES / UNDER TAKINGS WITH EFFECT FROM THE APPOINTED DATE:

4.1 The entire undertakings of the Transferor Companies as on the appointed date including fixed assets, movable goods and properties, actionable claims, receivables, current and liquid assets, movable assets, immovable assets, contingent assets, advances, tangible and intangible assets, stores, stocks, capital work in progress, Plant and Machinery, tools, accessories, furniture and fixtures and all and every asset of all and every nature and description wherever they are, shall, under the provisions of Section 230 and 232 of the Companies Act, 2013, without further act or deed but subject to necessary compliances if any, be transferred to and vested in the Transferee Company

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

Director

so as to become as and from the said appointed date, the properties, assets, estate, right, title and interest of the Transferee Company.

4.2 The Transfer of properties and assets of the Transferor Companies and vesting of the same in the Transferee company without any further act or deed shall come into effect upon the scheme coming into force

4.3 In respect of such of the assets, including cash on hand or movable in nature or are otherwise capable of transfer by manual delivery or by endorsement and delivery, the same may be transferred accordingly by the Transferor Companies to the Transferee Company. The amount lying with the Banks to the credit of the Transferor Companies shall also be transferred to the Transferee Company. Such delivery and transfer shall be made on the date to be mutually agreed upon between the respective Board of Directors of the Transferor Companies and Transferee Company upon the orders of the Hon'ble NCLT sanctioning this scheme.

4.4 In respect of movables other than those specified above, including sundry debtors, outstanding loans and advances recoverable in cash or kind or for value to be received and deposits with Government, Semi-Government, Local and other authorities and bodies, the following modus operandi shall be followed:

(i) The Transferee Company shall give notice in such form as it may deem fit and proper to each party / debtor, that pursuant to the Hon'ble NCLT having sanctioned the amalgamation between the Transferor Companies and the Transferee Company and their members under Sections 230 and 232 of the Act, the said debt, Loan, advance, etc., be paid or made good or held on account of the Transferee Company as the person entitled thereto, to the end and intent that the rights of the Transferor Companies as the case may be, to recover or realize the same stands

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.R. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DSF AQUATECH PRIVATE LIMITED
Director

extinguished and that appropriate entry should be passed in their respective books to record the aforesaid change.

(ii) The Transferor Companies shall also, if so required either by the Transferee Company or the Debtors/Parties, give notice in such form as they may deem fit and proper to each party / debtor that pursuant to the Hon'ble NCLT having sanctioned the amalgamation between the Transferor Companies and the Transferee Company and their members, under Sections 230 and 232 of the Act, the said party should pay the debt or loan or advance or make good the same or hold the same on account of the Transferee Company and the rights of the Transferor Companies shall stands extinguished.

4.5 With effect from the appointed date, all debts, liabilities, duties, obligations of each and every kind, sundry creditors, trade and business liabilities and obligations, secured, un-secured and statutory loans and obligations of every kind, nature and description of the Transferor companies shall, under the provisions of Sections 230 and 232 of the Act, vest or be deemed to have been vested without any further Act, instrument or deed, in the Transferee Company so as to become the debts, liabilities, duties, and obligations of the Transferee Company. It shall not be necessary to obtain the consent of any Third party or other person who is the party to any contract or arrangement by virtue of which, such debts, liabilities, duties and obligations have arisen in order to give effect to the provisions of this clause.

Further, in case of any difference in accounting policies between the Companies, the impact of the same till the amalgamation will be quantified and adjusted in the Reserves maintained earlier to ensure that the financial statements of the Transferee Company reflect the financial position on the basis of consistent accounting policies.

4.6 The businesses of the Transferor companies shall stand transferred and vested in the Transferee Company.

For DEVI FISHERIES LTD
(V. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DSF AQUATECH PRIVATE LIMITED
Director

4.7 All the Reserves of the Transferor Companies shall be transferred to and negative balances if any, in the reserves of the said Transferor Companies shall be adjusted against the Reserves of the Transferee Company or accounted for in the books of accounts of the Transferee Company as permitted by the accounting standards and accounting policies.

4.8 All the intellectual property rights, patents and brands if any, licenses, registrations, certificates, privileges, of the Transferor Companies shall stand transferred to and vested in the Transferee Company.

4.9 All the mortgages and rights of the secured creditors of the Transferor companies along with the amounts due to them by the Transferor Companies shall without any further act and deed stand transferred to and vested in the Transferee Company as through the said amounts were borrowed and mortgages created by the Transferee Company itself provided, the scheme shall not operate as extension of charge of the secured creditors to other properties which were not mortgaged to them. The Transferee Company, if it is so required by the Secured Creditors, shall execute such further letters or documents and do such acts and deeds as may be necessary and required in the opinion of the secured creditors to protect their interest.

4.10 All the liabilities of the Transferor Companies without limitation together with contingent liabilities, obligations, guarantees shall stand transferred to the Transferee Company.

4.11 This Scheme has been drawn up inter alia to comply with the conditions relating to **"amalgamation"** as specified under Section 2(1B) of the Income Tax Act, 1961. If any term or provision of the Scheme is found or interpreted to be inconsistent with the said provisions at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income Tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with conditions contained in Section 2(1B) of the

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

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(V.V.V.S.N. MURTHY)
Director

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Director

For SEA FOODS PRIVATE LIMITED
Director

Income Tax Act, 1961. Such modification shall however not affect other parts of the Scheme.

4.12 Guarantees if any provided by third parties on behalf of the Transferor Companies shall vest in the Transferee Company and shall inure to the benefit of the Transferee Company.

5. LEGAL PROCEEDINGS:

5.1 On and from the appointed date all suits, actions and other legal proceedings (herein after called "the proceedings") by or against the Transferor Companies and pending on the effective date and relating to the Transferor Companies or the property, Assets, debts, liabilities, duties and obligations referred to in clause 4 above, shall not abate or be discontinued or in any way be prejudicially affected by reason of the transfer of the undertaking of the Transferor Companies or of anything contained in this scheme and the same shall be continued, prosecuted and enforced by or against the Transferee Companies as though they are filed by or against the Transferee Company. On and from the effective date, the Transferee Company shall and may initiate any legal proceedings for and on behalf of the Transferor Companies.

5.2 The transfer of the undertakings of the Transferor Companies and the continuance of the proceedings by or against the Transferor Companies pursuant to this scheme, shall not affect any transactions or proceedings already concluded by the Transferor Companies, in the ordinary course of business on or after the appointed Date but before the effective date to the end and intent that the Transferee company accepts and adopts on behalf of itself all acts, deeds and things done lawfully and executed by the Transferor Companies in regard thereto as having been done or executed on behalf of the Transferee Company.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

6. CONDUCT OF BUSINESS BY THE TRANSFEROR COMPANIES TILL THE EFFECTIVE DATE WITH EFFECT FROM THE APPOINTED DATE AND UPTO THE EFFECTIVE DATE:

6.1 The Transferor Companies shall carry on and shall be deemed to have carried on all its business and activities and shall stand possessed of and shall be deemed to have held and stood possessed of its properties and assets for and on account of and in trust for the Transferee Company.

6.2 The Transfer and vesting of the property and liabilities and the continuances of the proceedings and the business of the Transferor Companies to the Transferee Company under this Scheme shall not affect any transactions or proceedings already concluded by the Transferor Companies in the ordinary course of business on and after the Appointed date to the end and intent that the Transferee Company accepts on behalf of itself all acts, deeds and things done and executed by the Transferor Companies in respect thereto as done and executed on behalf of itself.

6.3 The profits or incomes accruing or arising to the Transferor Companies or expenditure or losses arising or incurred by the Transferor Companies shall, for all purposes, are treated as the profits or incomes or expenditure or losses as the case may be of the Transferee Company.

6.4 The Transferor Companies shall carry on its business and activities with due business prudence and diligence and shall not, without the prior written consent of the Transferee Company or pursuant to any pre-existing obligation sell, transfer or otherwise alienate, charge, mortgage, or encumber or otherwise deal with the said undertaking or any part thereof or incur or accept or acknowledge any debt, obligation or liability except as is necessary in the ordinary course of its business.

Provided always that the Transferor Companies and the Transferee Company shall have the liberty to take up any new

For DEVI FISHERIES LTD
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Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI SEA FOODS PRIVATE LIMITED
Director

projects, avail any new loans and facility and to create any mortgage or charge on their respective properties, to declare any interim dividend on its Equity shares except that the Transferor Companies shall do so only with the Consent of the Transferee Company provided however, Transferor Companies do not require any consent to carry on the activities in the usual course of business.

6.5 With effect from the effective Date, the Transferee Company shall commence and carry on and shall be authorized to carry on the business carried on by the Transferor Companies.

7. CONSIDERATION AND CANCELLATION OF SHARES:

The entire issued, subscribed and paid-up share capital of all the Transferor Companies were held by the Transferee Company along with its nominees resulting to a wholly owned subsidiary status of the Transferor Companies. Upon the scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of its holding in the Transferor Company and the Paid up share capital of the Transferor Companies shall stand cancelled

8. CLUBBING OF AUTHORISED SHARE CAPITAL:

8.1 Upon the scheme becoming effective, the Authorized capital of the Transferor Companies will be merged with the Authorized capital of the Transferee Company without any further act or deed or payment of any fee as the Transferor Companies have paid the requisite registration fee on their respective Authorized capital from time to time. Upon the scheme coming in to force, the Authorized capital of the Transferee Company shall be Rs.106,40,00,000/- (Rupee One Hundred Six Crores and Forty Lakhs only) divided into 10,64,00,000 equity shares of Rs.10/- and the capital clause in the Memorandum of Association and relevant Regulation if any in the Articles of Association of the Transferee company shall be deemed to have been amended accordingly without any further act or deed and as the Transferor Companies are wholly owned subsidiaries to the

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SAKTHI SEA FOODS PRIVATE LIMITED
Director

Transferee Company, the sanction of this scheme by the Hon'ble NCLT shall be deemed to be sufficient compliance by the Transferee Company with the relevant provisions of Companies Act, 2013 with regard to alteration of the capital clause in the Memorandum of Association and articles in the Articles of Association of the Transferee Company read with the Rules made thereunder.

9. CONSIDERATION FOR THE SCHEME OF AMALGAMATION

9.1 Upon the transfer of the undertakings of the Transferor Companies and the amalgamation becoming effective in terms of this Scheme, the consideration in respect of such transfer shall, subject to the provisions of this Scheme, be settled by the Transferee Company as follows.

9.2 As the above said Transferor Companies are wholly owned subsidiaries of the Transferee, post-merger the share capital in the Transferor Companies and the investment held by the Transferee Company shall be adjusted as per the Accounting Framework requirements and as per the applicable Accounting Standards and other guidelines prescribed by the Institute of Chartered Accountants of India and the Central Government, further the Authorized Capital in the Transferor Companies shall be shown in the Transferee Company as take over resulting to an extent of Rs.106,40,00,000/- (Rupee One Hundred Six Crores and Forty Lakhs only) divided into 10,64,00,000 equity shares of Rs.10/- each and the capital clause in the Memorandum of Association and relevant Regulation if any in the Articles of Association of the Transferee company shall be deemed to have been amended accordingly without any further act or deed and as the Transferor Companies are wholly owned subsidiaries to the Transferee Company, the sanction of this scheme by the Hon'ble NCLT shall be deemed to be sufficient compliance by the Transferee Company with the relevant provisions of Companies Act, 2013 with regard to alteration of the capital clause in the Memorandum of Association and articles in the Articles of

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI SEA FOODS PRIVATE LIMITED
Director

Association of the Transferee Company read with the Rules made thereunder.

9.3 As the merger is between the Parent Company and the Wholly Owned Subsidiary Companies, issuing of shares to the shareholders of the Transferor Companies, are not applicable. Further, the Scheme of Amalgamation would not affect the employees of the Transferor or the Transferee Companies and they would continue to enjoy the same benefits as they used to before the proposed amalgamation.

9.4 The Transferee Company shall upon obtaining the sanction of the scheme through order given by the Hon'ble National Company law Tribunal Amaravathi, the Transferee Company shall increase its Authorized share capital by creation of at least such number of Equity shares of Rs. 10/- each as may be necessary to satisfy its obligations under the provisions of the Scheme.

9.5 Upon this Scheme coming into effect, shares in the Companies shall stand surrendered and the share certificates shall stand cancelled in consideration of this scheme.

10. CANCELLATION OF INTER-CORPORATE / CROSS HOLDINGS AND / OR LOANS

Upon the scheme coming in to force, the cross investments either in share capital or loans or any other form in the companies if not already repaid will be cancelled and the Transferee Company shall square up such transactions and pass appropriate entries in its books of accounts.

11. RATIONALE FOR THE SCHEME

(i) The merged entity will have the better asset base, scope for diversion and creation of new platforms of business and better net worth.

(ii) The objects and business module of the Transferor Companies are similar to that of the objects and business module of the

DEVI FISHERIES LTD. 6-21-7 East Point Colony VISAKHAPATNAM

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

Director

Transferee Company and these are interconnected as such; merger would result in synergy of operations.

(iii) All the Transferor Companies are the wholly owned subsidiaries of the Transferee Company wherein the entire share capital of the Transferor Companies were held as investments in the Books of the Transferee Company accordingly.

(iv) The Transferor Companies have lot of business potential and the Transferee Company is profit making with reasonable free reserves to its credit and capability to raise Loan funds from Banks to support the expansion of the Business thereby exploiting the synergies that are resulted by the Amalgamation. By virtue of these reasons, the merged entity with the combined business and assets of all the companies will have a better net-worth, valuation and will be placed in a much better position to get better financing for expansion to face the competition in the medical industry. Focused attention will improve the business, reduce the risk, avoid duplication, and give chance for better planning.

(v) The combined or merged entity will have better capital adequacy and debt to equity ratio, net worth and asset base.

(vi) Added net worth and assets base will help the Transferee Company to raise funds required for any further expansion of its business or diversion to new fields.

(vii) The merger of the Companies will result in synergy of operations and avoidance of administrative inconveniences and saving establishment cost and compliances of law in addition to reducing the procedural compliances and duplications.

(viii) The merger will enable the undertakings of the Transferee and Transferor companies to supplement each other. The Transferor Companies have as stated above good track record with consistent revenue earning capacity and its profits which in turn will benefit the undertakings of all the companies, their employees, shareholders and creditors.

For DEVI FISHERIES LTD
(V. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

Director

(ix) The proposed Amalgamation would result in consolidation of the businesses of the companies and enable the management to give focused attention to the business.

(x) The proposed scheme is beneficial to the Shareholders and creditors of Transferor and Transferee Companies.

12. SHAREHOLDING PATTERN

All the Transferor Companies are the wholly owned subsidiaries of the Transferee Company without there being any public interest involved therein therefore there shall not be any change in the issued, paid up and subscribed Share Capital of the Transferor Companies. However the Authorized Share Capital shall be at the increased Share Capital of Rs.106,40,00,000/- (Rupee One Hundred Six Crores and Forty Lakhs only) divided into 10,64,00,000 equity shares of Rs. 10 each.

13. ACCOUNTING TREATMENT IN THE BOOKS OF ACCOUNTS OF THE TRANSFEREE COMPANY

The Transferee Company shall follow the applicable Accounting Standards and other guidelines prescribed by the Institute of Chartered Accountants of India and the Central Government or jointly as the case may be and account for the amalgamation of the Transferor Companies in its books of accounts and financial statements accordingly.

i. The Transferee Company shall record all the assets and liabilities of the Transferor Companies transferred to and vested in it, at their book values on line to line basis.

ii. Inter-Company loans or other balances if any, shall if not already liquidated be cancelled and accordingly, the Transferee Company shall record such adjustments upon the cancellations in its books of accounts.

iii. The difference between the amount of net assets taken over by the Transferee Company over the investments in the Transferor Companies along with any other unrealizable assets of the Transferee Company, whether fixed or intangible or current or any diminution in

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DSF AQUATECH PRIVATE LIMITED
Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DEVI SEA FOODS (P) LTD
Director

the value of the investment, if and to the extent these items identified and considered necessary by the Board of Directors of the Transferee Company shall be adjusted against such accounts of the Transferee Company as may deem fit by the Board of Directors. Further, the consolidated accounts of the Transferee Company after amalgamation would reflect the adjustments and procedure followed for the accounting treatment of the amalgamation in accordance with Accounting Standard-14.

iv. On and from the Appointed Date, the reserves and the balance in the Profit and Loss Account of the Transferor Companies will be merged with/adjusted against those of the Transferee Company in the same form as they appear in the financial statements of the Transferor Companies.

v. In case of any differences in accounting policies between Transferor Companies and Transferee Company, a uniform set of accounting policies will be adopted by the Board of Directors of the Transferee Company following the amalgamation. The effects on therein the Financial statements, any changes in accounting policies shall be adjusted in accordance with "Accounting Standard-05" read with Section 129 of the Companies Act, 2013.

vi. Notwithstanding anything above, the Board of Directors of the Transferee Company is authorized to account for all or any of the balances and values of assets and liabilities of the Transferor Companies and apply necessary, applicable and appropriate accounting treatment for recording transfer of the above in its books of accounts in any manner whatsoever, as may be deemed fit, in accordance with the prescribed Accounting Standards notified by National Advisory Committee on Accounting Standards/ Central Government/ ICAI and applicable generally accepted accounting principles and any amendment made thereto as applicable to the accounting of the Transferee companies.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

14. APPLICATION TO THE HON'BLE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATHI BENCH

The Transferor Companies and the Transferee Company shall take all necessary steps for seeking the sanction of this Scheme by the Hon'ble NCLT pursuant to Section 230 and 232 of the Act for the amalgamation under this Scheme and for the implementation thereof.

15. MODIFICATIONS/AMENDMENTS TO THE SCHEME

The Board of Directors of the Transferor Companies and the Transferee Company through any person(s) duly authorized by them respectively may consent on behalf of all concerned to any modification(s) of or addition(s) to this Scheme or to any condition(s) etc. which the Board of Directors feel necessary to meet with the purpose of scheme or meet with the legal or other requirements or which any Regulatory or Concerned Authority which the Hon'ble NCLT may think fit to impose and may do all acts, deeds, matters, and things necessary or usual for carrying this Scheme into effect.

16. SCHEME CONDITIONAL ON APPROVALS /SANCTIONS

This Scheme is conditional upon and subject to:

i. Approval by the requisite majorities of the members, secured creditors and Unsecured Creditors of the Transferor Companies and Transferee Company.

ii. The sanction of the Hon'ble NCLT under Sections 230 and 232 of the said Act in favor of the Transferee Company and Transferor Companies being obtained.

iii. Certified copies of the Orders of the Hon'ble NCLT sanctioning the Scheme being filed with the Registrar of Companies, Andhra Pradesh at Vijayawada by the Transferee Company and the Transferor Companies respectively.

iv. Other requisite sanctions or approval of appropriate authorities as may be considered necessary and appropriate being obtained.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

17. SCHEME TAKING EFFECT

a) This Scheme, although shall come into operation from the Appointed Date, shall not however become effective until the date on which the certified copies of the Orders under Sections 230 and 232 of the Act are duly filed with the Registrar of Companies, Andhra Pradesh at Vijayawada.

b) A copy of the order of the Hon'ble NCLT sanctioning the Scheme of Amalgamation shall be filed by the Transferor Companies and the Transferee Company with the Registrar of Companies, Andhra Pradesh at Vijayawada, within one month from the date the certified copy of Order is received by the Transferor Companies and the Transferee Company or with in such time, the Tribunal directs.

18. EFFECT OF NON-RECEIPT OF APPROVALS/SANCTIONS

In the event of the Scheme failing to take effect for any reason whatsoever, the scheme shall become null and void and in that event, no rights, liabilities shall accrue to or be incurred by the parties or their shareholders, creditors or any other person. In such case, each Company shall bear and pay its respective costs, charges and expenses for and or in connection with the scheme or as may mutually be agreed.

19. NO COMPROMISE WITH THE CREDITORS

The scheme of Amalgamation does not involve any compromise with creditors of any class of any of the companies. The scheme will not affect the rights of any of the creditors of Transferor Companies or of the Transferee Company including but not limited to secured, unsecured, trade, business, sundry or contingent creditors, in any manner what so ever and all the protections have been provided for the interests of creditors of the companies in the scheme.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

Director

20. EXPENSES CONNECTED WITH THE SCHEME.

All costs, charges and expenses of the Transferor Companies and the Transferee Company respectively in relation to or in connection with the negotiations leading up to the scheme and of carrying out and implementing / completing the Terms and Provisions of the Scheme and /or incidental to the Completion of amalgamation of the Transferor Companies in pursuance of this Scheme shall be borne and paid by the Transferee Company.

21. DISSOLUTION OF THE TRANSFEROR COMPANIES:

On the Scheme becoming effective and subject to an order being made by the Hon'ble NCLT under Section 232/234 of the Act, the Transferor Companies shall be dissolved without Winding up and ceased to exist with effect from the effective date or such other date as may be fixed by the Hon'ble NCLT.

22. INTEREST OF THE DIRECTORS IN THE SCHEME

The Directors of the Transferor companies and Transferee company are interested to the extent of the shares held by them, their relatives and Associates and the Transferee company and Transferor companies being closely held by the promoters, the Directors are generally interested in the companies and their affairs and business.

23. ADDITIONAL DISCLOSURRES

1. Names of the Companies

   A. Devi Fisheries Limited (Transferee Company)

   B. Devi Aquatech Private Limited (1st Transferor Company)

   C. Satya Sea Foods Pvt Ltd (2ndTransferor Company)

   D. DSF AQUATECH PVT LTD (3rdTransferor Company)

2. Corporate Identification Number (CIN) or Global Location Number (GLN) of the companies: - **CINs have been furnished** under Clauses 1.7 and 1.9

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

3. Permanent Account Numbers (PAN) of the Companies are as under

A. Transferee Company– Devi Fisheries Limited- PAN: AAACD7852Q

B. 1stTransferor Company- Devi Aquatech Private Limited–

PAN AAFCD0319K

C. 2nd Transferor Company- Satya Sea Foods Private Limited - PAN AAECS8740C

D. 3rd Transferor Company- DSF AQUATECH Private Limited -

PAN AAACD7853R

4. Dates of incorporation: - Furnished under Clauses 1.7 and 1.9 and Clauses 2.1 to 2.2 mentioned above

5. Type of the companies: - All the companies under this scheme are closely held companies, all three transferor Companies are private limited companies and Transferee Company is unlisted public Company.

6. Registered office addresses and e-mail addresses of the Companies are as under: -
Registered Office addresses of the Companies are under Clauses 1.7 and 1.9 mentioned above

Email addresses of the companies are as under: -

A. Transferee Company: accounts@devifisheries.com

B. 1stTransferor Company: deviaquatech@gmail.com

C. 2ndTransferor Company: accounts@devifisheries.com

D. 3rdTransferor Company: accounts@devifisheries.com

7. Summary of main object as per the memorandum of association; and main business carried on by the companies.

For DEVI FISHERIES LTD
(T. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

Summary of the main objects of the companies and the present business being carried by them are furnished under Clauses 1 and 2 of preamble mentioned above.

8. During the last Five Financial years, the Registered offices of neither the Transferee Company nor that of the Transferor Companies was shifted to other address.

9. Name of the stock exchange (s) where securities of the company are listed, if applicable: - NA

   All the Transferor Companies are closely held private limited companies and are not listed on any stock exchange. Transferee company is a public limited company and is not listed on any stock exchange.

10. Details of the capital structure of the company including authorized, issued, subscribed and paid up share capital is as under: -

    Details of Capital Structure of the Companies are under Clauses 3.1 to 3.4 of Part – III mentioned above.

11. Names of the promoters and directors along with their addresses are detailed hereunder.

    Transferee Company was promoted by Shri Surya Rao Yarlagadda, Shri Rajagopal Choudary Chitturi, Shri Veera Venkata Satyanarayana Murthy Yarlagadda and Shri Veerraju Yarlagadda and its board of directors comprise of the following.

Sl.No.	Name and address of the Director	DIN	Since when director
1	Shri Surya Rao Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda Plot no.35, Balaji Bay Mount, Rushikonda, Visakhapatnam -530 045, Andhra Pradesh, India.	00919441	14/05/1997
2	Shri Rajagopal Choudary Chitturi S/o Shri Satyanaryana Murthy Chitturi	00944453	14/05/1997

For DEVI FISHERIES LTD

(Y. SURYA RAO)
Managing Director

For DSF AQUATECH PRIVATE LIMITED

Director

For DEVI AQUATECH PRIVATE LIMITED

(K.V.V.S.N. MURTHY)
Director

For DEVI SEA FOODS PRIVATE LIMITED

Director

	H.No.7-5-88, Pandurangapuram, Opp Punarvasi Apartments, Pandurangapuram, Visakhapatnam-530 003, Andhra Pradesh, India.		
3.	Shri Veera Venkata Satyanarayana Murthy Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda H.No.7-5-107/1, Plot No.54, Pandurangapuram, Visakhapatnam-530 003, Andhra Pradesh, India.	00918210	01/10/1997
4.	Shri Veerraju Yarlagadda S/o. Shri Venkata SubbaRao Yarlagadda D.No.12-01-33, Main Road, Samarlakot-533 440, Andhra Pradesh, India	00944519	01/04/1998
5.	Shri Mahendra Yarlagadda S/o. Surya Rao Yarlagadda D.No.7-5-71, Plot No.60 Near Panduranga Temple, Pandurangapuram Visakhapatnam-530 003, Andhra Pradesh, India.	07755389	08/03/2017
6.	Shri Indraneel Chitturi S/o Shri Rajagopal Choudary Chitturi Flat No-C2, Abhidharan Nivas, Seshasai Street Beside Old Current Office, Ramarao Peta, Kakinada- 533 004, Andhra Pradesh, India.	02836152	08/03/2017
7.	Shri Ram Babu Bandarupalli S/o Shri Seshagiri Rao Bandarupalli H.No.7-17-6/4, Kirlampudi Layout, Near Muncipal Guest House, Ward No.21, Lawsons Bay Colony, Pedawaltair, Visakhapatnam-530017, Andhra Pradesh, India.	07338654	01/12/2014
8.	Ms Tiruvalloor Viavoori Gayathri Rao D/o Shri Rama Rao Tiruvalloor Viavoori D.No.8-3-4, Plot No-53, Sonata Viajayanagaram Palace Layout, Near Visakha Eye Hospital , Lawsons Bay Colony, Pedawaltair, Visakhapatnam - 530017, Andhra Pradesh, India.	08093167	10/10/2017

1st Transferor Company- Devi Aquatech Private Limited was promoted by Shri Surya Rao Yarlagadda, Shri Rajagopal Choudary Chitturi, Shri Veera Venkata Satyanarayana Murthy Yarlagadda and Shri Veerraju Yarlagadda and its board of directors comprise of the following.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

Sl.No.	Name and address of the Director	DIN	Since when director
1	Shri Surya Rao Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda Plot no.35, Balaji Bay Mount, Rushikonda, Visakhapatnam-530 045, Andhra Pradesh, India.	00919441	19/03/2014
2	Shri Rajagopal Choudary Chitturi S/o Shri Satyanaryana Murthy Chitturi H.No.7-5-88, Pandurangapuram, Opp Punarvasi Apartments, Pandurangapuram, Visakhapatnam-530 003, Andhra Pradesh, India.	00944453	19/03/2014
3.	Shri Veera Venkata Satyanarayana Murthy Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda H.No.7-5-107/1, Plot No.54, Pandurangapuram, Visakhapatnam-530 003, Andhra Pradesh, India.	00918210	19/03/2014
4.	Shri Veerraju Yarlagadda S/o.Shri Venkata SubbaRao Yarlagadda D.No.12-01-33, Main Road, Samarlakot-533 440, Andhra Pradesh, India	00944519	22/12/2015
5.	Shri Indraneel Chitturi S/o Shri Rajagopal Choudary Chitturi Flat No-C2, Abhidharan Nivas, Seshasai Street Beside Old Current Office, Ramarao Peta, Kakinada- 533 004, Andhra Pradesh, India.	02836152	18/07/2020

2nd Transferor Company - Satya Sea Foods Private Limited was promoted by Shri Venkata Subba Rao Yarlagadda and Shri Surya Rao Yarlagadda and its board of directors comprise of the following.

Sl.No.	Name and address of the Director	DIN	Since when director
1	Shri Surya RaoYarlagadda S/o. Shri Venkata Subba Rao Yarlagadda Plot no.35, Balaji Bay Mount, Rushikonda, Visakhapatnam-530 045, Andhra Pradesh, India.	00919441	13/12/1985

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(Y.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

2	Shri Rajagopal Choudary Chitturi S/o Shri Satyanaryana Murthy Chitturi H.No.7-5-88, **Pandurangapuram**, Opp Punarvasi Apartments, Pandurangapuram, Visakhapatnam-530 003, Andhra Pradesh, India.	00944453	01/12/2001
3.	Shri Veera Venkata Satyanarayana Murthy Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda H.No.7-5-107/1, Plot No.54, Pandurangapuram, Visakhapatnam-530 003, Andhra **Pradesh**, India.	00918210	01/12/2001
4.	Shri Veerraju Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda D.No.12-01-33, Main Road, Samarlakot-533 440, Andhra Pradesh, India	00944519	01/12/2001

3rd Transferor Company- DSF Aquatech Private Limited was promoted by Shri Venkata Subba Rao Yarlagadda, Shri Surya Rao Yarlagadda and M/s Devi Sea Foods Limited formerly "Devi Sea Foods Private Limited" and its board of directors comprise of the following.

Sl.No.	Name and address of the Director	DIN	Since when director
1	Shri Surya Rao Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda Plot no.35, Balaji Bay Mount, Rushikonda, Visakhapatnam-530 045, Andhra Pradesh, India.	00919441	16/09/1993
2	Shri Rajagopal Choudary Chitturi S/o Shri Satyanaryana Murthy Chitturi H.No.7-5-88, Pandurangapuram, Opp Punarvasi Apartments, Pandurangapuram, Visakhapatnam-530 003, Andhra Pradesh, India.	00944453	01/08/1997
3.	Shri Veera Venkata Satyanarayana Murthy Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda H.No.7-5-107/1, Plot No.54, **Pandurangapuram**, Visakhapatnam-530 003, Andhra Pradesh, India.	00918210	27/07/2000
4.	Shri Veerraju Yarlagadda S/o. Shri Venkata Subba Rao Yarlagadda D.No.12-01-33, Main Road, Samarlakot-533 440, Andhra Pradesh, India	00944519	27/07/2000

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SURYA SEA FOODS PVT. LTD.
Director

12. If the scheme of compromise or arrangement relates to more than one company, the fact and details, if any.

    There are Four companies and the scheme of amalgamation relate to them. Names of these companies are furnished under preamble and Clauses 2.1 and 2.2 of Part III above.

13. Relationship subsisting between such companies who are parties to such scheme of compromise or arrangement, including holding, subsidiary or of associate companies: -

    Devi Fisheries Limited (Transferee Company) is a Public Limited Company and these represent the shareholding of Shri Surya Rao Yarlagadda and his relatives. All three transferor companies are wholly owned subsidiaries of M/s Devi Fisheries Limited. Irrespective of the above, Transferor and Transferee Companies are managed by common board of directors at arm's length basis.

14. The date of the board meeting at which the scheme was approved by the board of directors including the names of the directors who voted in favor of the resolution, who voted against the resolution and who did not vote or participate on such resolution.

    The scheme was approved by the board of directors of M/s Devi Fisheries Limited at the Board Meeting held on 25th day of August, 2023 at 10:00 A.M and M/s Devi Aquatech Private Limited, at the Board Meeting held on 25th day of August, 2023 at 12:00 P.M respectively and M/s Satya Sea Foods Private Limited, at the Board Meeting held on 25th day of August, 2023 at 11.00 A.M respectively and M/s DSF Aquatech Private Limited, at the Board Meeting held on 25th day of August, 2023 at 03.00 P.M respectively. All the directors of all the companies attended the meetings of their respective board meetings and approved the scheme unanimously.

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For SATYA SEA FOODS PRIVATE LIMITED
Director

15. Parties involved in such compromise or arrangement: -

The companies mentioned above and their respective shareholders are interested in this scheme and therefore, they are only parties to this scheme of amalgamation.

16. In case of amalgamation or merger, appointed date, effective date, share exchange ratio (if applicable) and other considerations, if any;

The scheme is for amalgamation of "M/s Devi Fisheries Limited" with "M/s Devi Aquatech Private Limited" "M/s Satya Sea Foods Private Limited" "M/s DSF Aquatech Private Limited" and the appointed date is 01.09.2023.

17. Details of capital or debt restructuring, if any: - There is no debt or capital restructuring involved in the scheme except increase in Authorized Share Capital by Transferee Company pursuant to the scheme of merger with the Wholly Owned Subsidiaries i.e., Transferor Companies in lieu of cancellation of their shares and in consideration of amalgamation proposed under the Scheme.

18. Rationale for the compromise or arrangement: - The rationale was furnished under Clause 11 of part III above.

19. Benefits of the compromise or arrangement as perceived by the Board of directors to the company, members, creditors and others (as applicable): - Benefits are forming part of the rationale of the scheme under clause 10 of part III above. The scheme apart from others is beneficial to all the stakeholders as the merger will facilitate consolidation of the business undertakings of both the companies which in turn will result in focused attention by the management, increase in the asset base, creation of more opportunities for growth, expansion and introduction of Investors and service of shareholders and creditors more efficiently.

20. Amount due to Secured and unsecured creditors as on the appointed date for all the Transferor Companies which are the

For DEVI FISHERIES LTD
(Y. SURYA RAO)
Managing Director

For DEVI AQUATECH PRIVATE LIMITED
(K.V.V.S.N. MURTHY)
Director

For DSF AQUATECH PRIVATE LIMITED
Director

For Satya Sea Foods Pvt. Ltd.
Director

wholly owned subsidiaries Companies of the Transferee Company has been made as a part of the Company Application consequential to this scheme and the Annexure is made under the head of List of Secured and Unsecured Creditors of the Transferor Companies and the Transferee Company.

21. Disclosure about the effect of the compromise or arrangement on (a) key managerial personnel;(b) directors;(c) promoters;(d) non-promoter members;(e) depositors;(f) creditors;(g) debenture holders;(h) deposit trustee and debenture trustee;(i) employees of the company: -

    The scheme will not have effect on the key managerial personnel, directors, promoters, non-promoter members, creditors or employees of the companies in any manner what so ever. The companies did not accept deposits or issue debentures and hence, the scheme affecting them will not arise.

22. Disclosure about effect of compromise or arrangement on material interests of directors, Key Managerial Personnel.

    The scheme will have no effect on the directors or key managerial personnel. The Directors are interested to the extent of the shareholding held by them and these shareholdings undergo change after the scheme coming to force as they cease to be the shareholders of the Transferor Companies and will become the shareholders of the Transferee Company.

By the order of the Board
FOR M/S DEVI FISHERIES LIMITED

(SURYARAO YARLAGADDA)
MANAGING DIRECTOR
DIN: 00919441

By the order of the Board
FOR M/S DEVI AQUATECH PRIVATE LIMITED

(Y.V.V.S.N MURTHY)
DIRECTOR
DIN: 00918210

By the order of the Board
FOR M/S SATYA SEA FOODS
PRIVATE LIMITED

(Y.V.V.S.N MURTHY)
DIRECTOR
DIN: 00918210

By the order of the Board
FOR M/S DSF AQUATECH PRIVATE
LIMITED

(Y.V.V.S.N MURTHY)
DIRECTOR
DIN: 00918210